regulator acquiescing to the problem by engaging in regulatory forbearance (that is, agreeing to turn a blind eye to non-performing loans). The third was to force disclosure and provisioning for bad loans, so that everyone knew the extent of the problem, and it did not grow to an alarming size sight unseen. That would also ensure that the government could budget adequately for the growing hole in public sector bank balance sheets, and not be surprised suddenly.

My speeches and commentary in this area were intended to lay out areas of action, but also send a more subtle message. The promoters were not above the law, and should be treated as they deserved – some with compassion because of genuine difficulties outside their control, and others with harshness. I especially criticized promoters who lived the good life even while they had bled their companies dry. This was as much a message to the promoters and bankers as to my own junior staff – top management at the RBI would back them if they did their jobs.

Our staff worked hard and creatively to create resolution mechanisms and some incentive for promoters to pay back in a system where they had little incentive to do so and banks had every incentive to extend and pretend. Despite a slow and uneven legal system, and despite the absence of a functioning bankruptcy code during my term, we did manage to force banks to start recognizing problems, and did bring some promoters to the table to pay. Following our representation to the Prime Minister, the investigative agencies started proceeding on cases of outright fraud with additional vigour. However, all this is still work in progress, and much needs to be done.

My first major talk on the subject was the Kurien Lecture in November 2014.

Saving Credit

At a time when demand for bank credit is weak, even while we are likely to have enormous demand for it if investment picks up, we have to ask if India's system of credit is healthy. Unfortunately, the answer is that it is not. We need fundamental reforms starting with a change in mindset. A public lecture in the memory of a great Indian who did much to change our mindsets is a perfect place to make the case.